

Governance – reviewing requests: Use this matrix to process to review and approve requests from the field

Changes	Reviewers				
	Pricing analyst	BM and SM	RVP and SD	RVP and Sales VP	DP
Existing deviations	☐ Share % below target price with reviewers	☐ Review if 0-1% discount off current deviation	☐ Review if 1-3% discount	☐ Review if >3% discount	NA
New deviations	☐ Share % below market price with reviewers	NA	☐ Review if >3% discount	NA	NA
Spend class (new customer)	☐ Share expected comparison to revenue, frequency, and growth benchmarks with reviewers	☐ Review if C or D is requested	☐ Review if B is requested	☐ Review if A is requested	NA
Spend class (existing customer)	☐ Share comparison to revenue, frequency, and growth benchmarks with reviewers	NA	☐ Review if 1 level is requested	☐ Review if 2 levels are requested	NA
Market price	☐ Share override rate, spend class mismatch, other identified errors with reviewers	NA	NA	☐ Review if <5% change	Review if >5% change
Overrides	NA	☐ Review if <3% below target	☐ Review if >3% below target	NA	NA

2. Governance – spend class evaluation: Use this cheat sheet to review requests to change spend class

Revenue

Segment	Min Revenue	Avg Revenue	Max Revenue
A	\$ 650K	\$ 1.2M	\$ 5.6M
B	\$ 250K	\$ 400K	\$ 650K
C	\$ 100K	\$ 150K	\$ 250K
D	\$ 0K	\$ 50K	\$ 100K

Order Frequency (# of weeks with multiple orders per week)

Segment	Min Weeks	Avg Weeks	Max Weeks
A	40	46	52
B	22	29	40
C	8	13	22
D	0	2	8